

Fearnleys Dry Bulk Market Outlook

Apr 10, 2025

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SUMMARY AND OUTLOOK

Adding Trump's trade war to other factors, this year looks more bearish than before. Potentially much more bearish.

At the time of writing this, there is a de facto trade embargo between the two most important economies in the world. The countries that had not been so rude as to retaliate against Trump have now been "rewarded" with a less severe punishment, and invited to come and crawl before him over a 90-day period. The behavior is more like that of a feudal King than an American President.

It is highly doubtful whether, over this 90-day period, there will be an orderly, fair, and intellectual negotiating process between the USA and the other trading partners.

The premise Trump has put behind the negotiations is that all other countries are cheating against the USA. Baked into the initial tariffs he slapped on everybody was an assumption that apart from the actual tariffs, sinister currency manipulations, export subsidies, and other unfair practices have taken place over decades. No documentation was provided to prove that these manipulations were going on. All economists we have seen comment on it say that even if these manipulations were going on, it would be extremely hard, if not impossible, to quantify the effects of it. Further, Trump seems to want a trade surplus with every other country, which is impossible, and displays complete economic illiteracy.

How will negotiations go with that considered?

What has been the real reason why the USA has had massive trade deficits for decades? The status of the US dollar as the global reserve currency. Since the US dollar became the global reserve currency, there has been strong demand to accumulate dollar reserves, more specifically, risk-free US government bonds. The US could thus finance its deficits by issuing currency, an advantage that already decades ago was dubbed by some an "exorbitant privilege" (exorbitant meaning unfairly large or disproportionate).

This privilege was probably deserved, as it was the USA that, in large part, built the modern economic structures we have. This of course included the last decades push to lower global trade barriers, which have contributed to bringing billions of people out of poverty.

The ability of the United States to fund deficits by issuing reserve currency is, in a sense, a financial imbalance, and this financial imbalance has probably to some degree contributed to a physical imbalance. There could indeed be relatively less manufacturing going on in the United States compared to what it would have been had the United States not had the reserve currency.

However, putting up massive trade barriers as the solution to this imbalance is catastrophic considering that the world economy is entirely globalized.

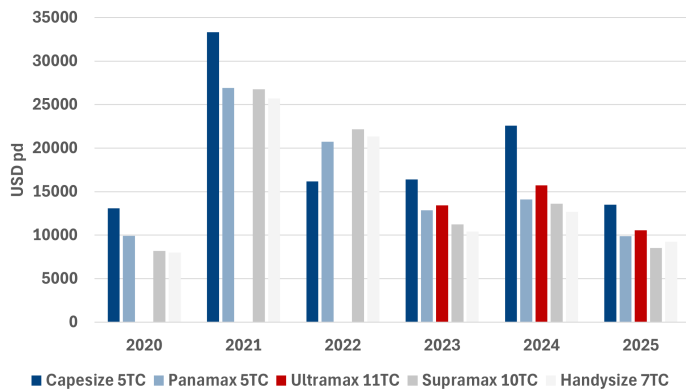
Under Trump's proposed policies, all Americans will get poorer either through higher costs of imported goods and a crashing stock market. Further, Trump will for sure not get the CAPEX investments he is seeking under the degree of uncertainty he is creating. A few days ago, US tariffs on imported goods from the EU was 30%, then a few days after, it was 10% - what will it be in 2 weeks? Nobody can plan long-term investments under such circumstances.

Concerning dry bulk markets, cyclical indicators like energy costs, interest rates, and a Chinese stimulus will likely be pointing even more towards a bullish 2026 and 2027 than before. However, it is of the **utmost importance** that the trade wars end for that to happen. Why? Because pushing the same old stimulus buttons that one has become used to will have a different effect than before, should Trump's new trade regime be put into place permanently. If more money chases fewer goods, inflation will move up rapidly and put a quick end to an eventual upturn in demand, eventually leaving you worse off than before.

Regarding estimates for earnings averages, we previously held the view that this year looked weaker than 2023. One could cling to the hope that the "direct effect" on dry bulk volumes is not too significant (USA exports made up 6% of the global total last year). But this is meaningless in a highly interconnected World economy.

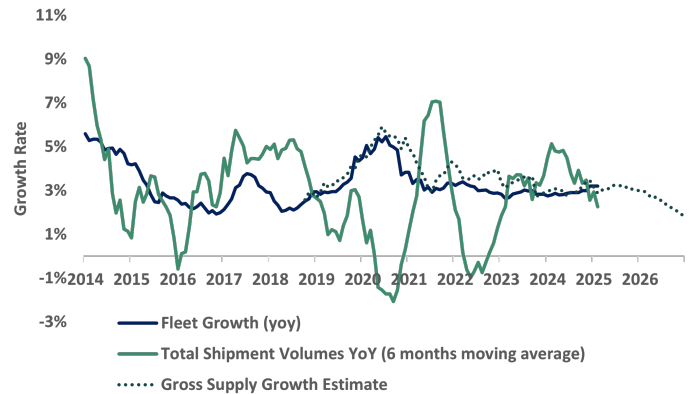
The outlook remains bearish until there is an end to the trade war. We hope for a swift resolution of ongoing events.

Earnings Averages



Baltic Exchange, Fearnleys

Dry Bulk Shipment Volume Growth vs Supply Growth (All Segments)



SUPPLY OUTLOOK

Total fleet statistics

2024 Deliveries: 32.0 million DWT
 2024 Scrapping: 3.3 million DWT
 2024 Year-on-Year Fleet Growth: 3.2%

YTD 2025 Deliveries: 9.9 million DWT
 YTD 2025 Scrapping: 0.98 million DWT

Remaining on schedule for 2025 delivery: 28.9 million DWT

Fleet statistics per segment.

Handysize

2024 Deliveries: 5.3 million DWT
 2024 Scrapping: 1.1 million DWT
 2024 Year-on-Year Fleet Growth: 3.0%

YTD 2025 Deliveries: 1.8 million DWT
 YTD 2025 Scrapping: 0.2 million DWT

Remaining on schedule for 2025 delivery: 4.2 million DWT

Supramax/Ultramax

2024 Deliveries: 10.2 million DWT
 2024 Scrapping: 0
 2024 Year-on-Year Fleet Growth: 5.0%

YTD 2025 Deliveries: 9.4 million DWT
 YTD 2025 Scrapping:



Remaining on schedule for 2025 delivery: 9.7 million DWT

Panamax/Kamsarmax

2024 Deliveries: 8.8 million DWT

2024 Scrapping: 1.4 million DWT

2024 Year on Year Fleet Growth: 3.0%

YTD 2025 Deliveries: 2.3 million DWT

YTD 2025 Scrapping: 0.736 million DWT

Remaining on schedule for 2025 delivery: 9.3 million DWT

Capesize/Newcastlemax

2024 Deliveries: 7.7 million DWT

2024 Scrapping: 0.7 million DWT

2024 Year-on-Year Fleet Growth: 1.9%

YTD 2025 Deliveries: 2.0 million DWT

YTD 2025 Scrapping: 0.323 million DWT

Remaining on schedule for 2025 delivery: 5.8 million DWT

Orderbook to Existing Fleet Ratios (in DWT terms)

Total Fleet: 9.6%

VLOC: 6.0%

Capesize/Newcastlemax: 7.6%

Panamax/Kamsarmax: 11.4%

Supramax/Ultramax: 12.0%

Handysize 25-50kdwt 8.3%

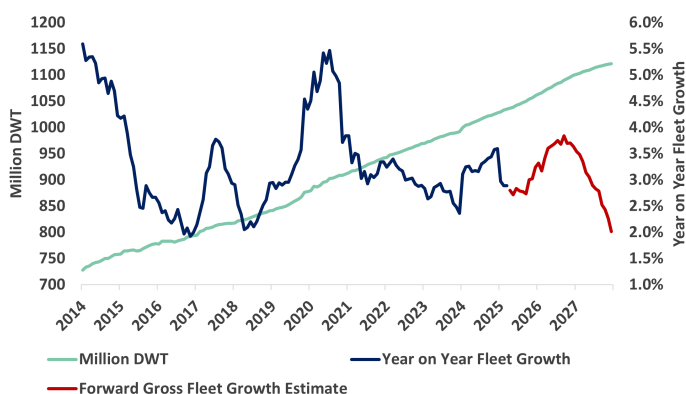
Total fleet growth estimates

2025: About 3.0%

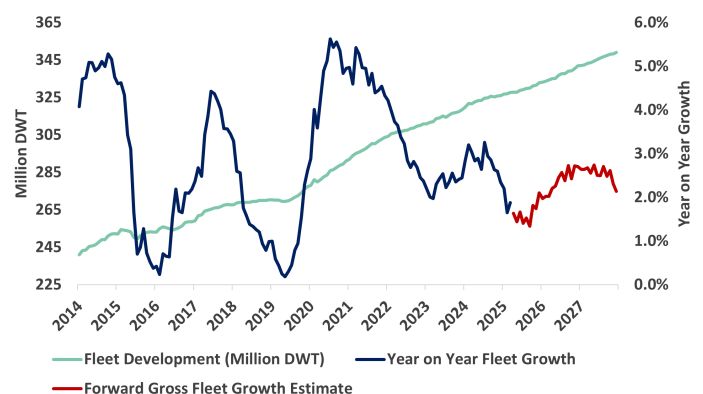
2026: About 2.0%

Fleet Growth and Forward Gross Estimates

Total Fleet Growth Including Estimate



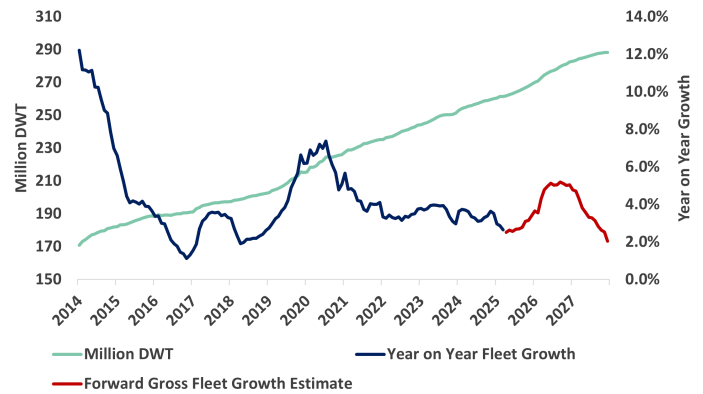
Cape/Newc Fleet Growth Including Estimate



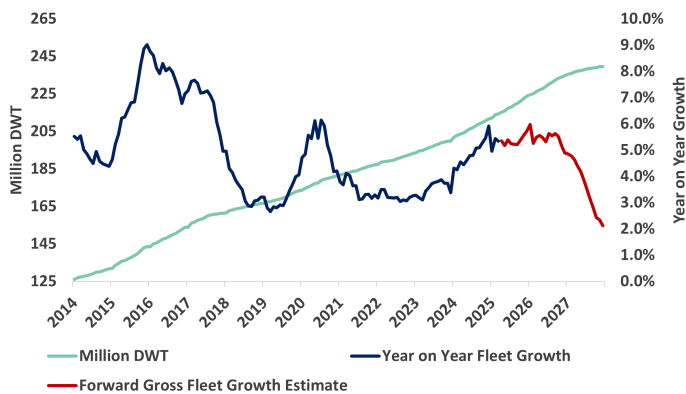
VLOC Fleet Growth Including Estimate



Panamax/Kamsarmax Fleet Growth Including Estimate



Supramax/Ultramax Fleet Growth Including Estimate



Handysize Fleet Growth Including Estimate



IHS, Fearnleys

PERIOD RATES AND ASSET VALUES

The correlation between 1-year time charter rates and second-hand values still suggests that either values have to fall, or that 1-year time charter rates have to rise.

Capesize:

A 10-year-old vessel has to fall to the mid-30 million, or the 1-year-TC rate has to rise to the mid twenty thousands.

Kamsarmax:

A 10-year-old vessel has to fall to the high teens, or the 1-year-TC rate has to rise to the high teens.

Supramax:

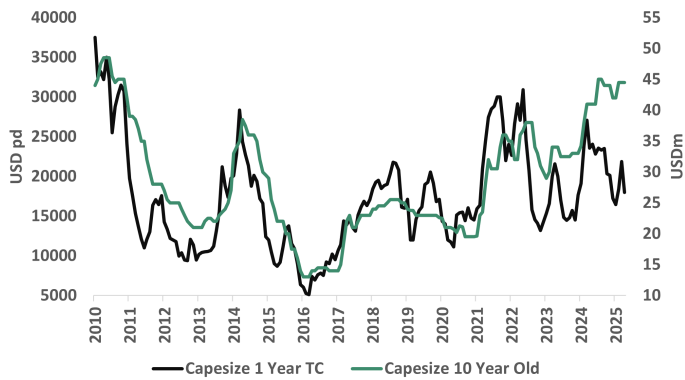
A 10-year-old vessel has to fall to the high teens, or the 1-year-TC rate has to rise to the high teens.

Handysize:

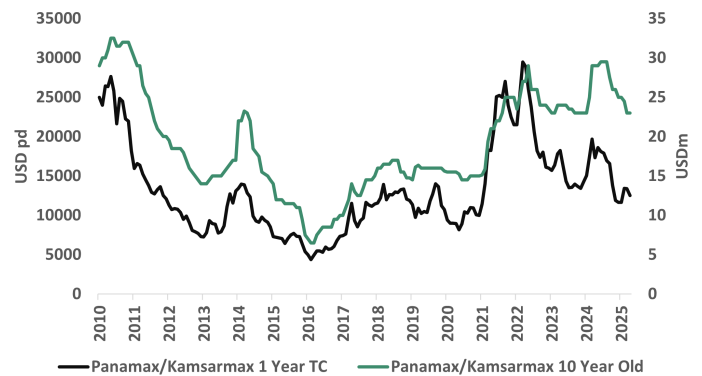
A 10-year-old vessel has to fall to the mid-teens, or the 1-year-TC rate has to rise to the mid teens.

Asset Values vs Period Rates

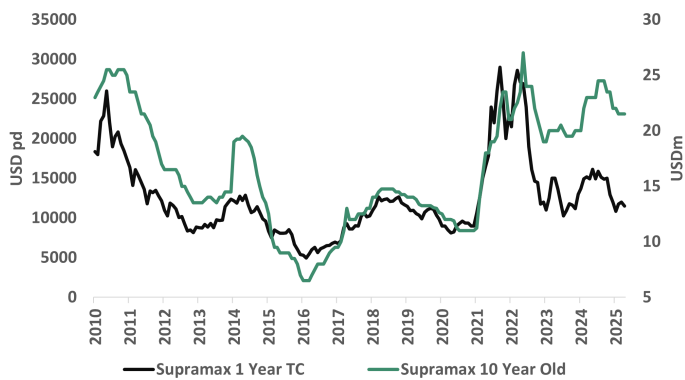
Capesize 1 Year TC vs Capesize 10 Year Old



Panamax/Kamsarmax 1 Year TC vs Panamax/Kamsarmax 10 Year Old



Supramax 1 Year TC vs Supramax 10 Year Old



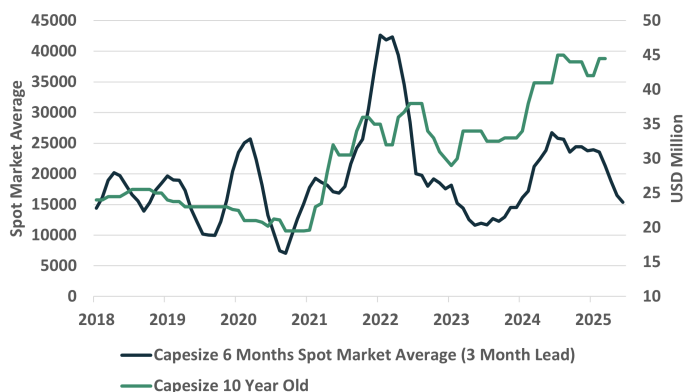
Handysize 1 Year TC vs Handysize 10 Year Old



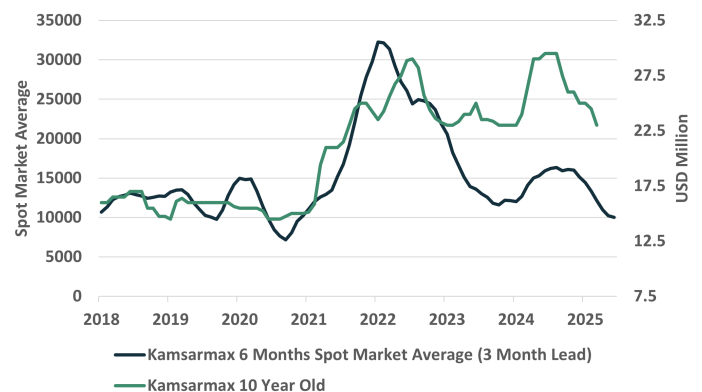
Fearnleys

Asset Values vs Spot Earnings Averages

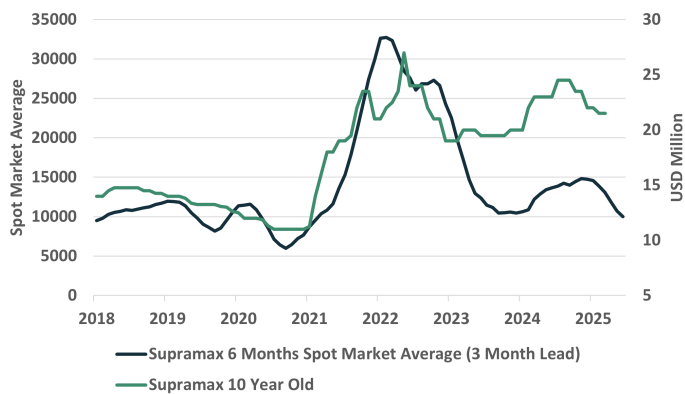
Capesize 6 Months Spot Market Average (Moved 3 Months Forward) vs Capesize 10 Year Old



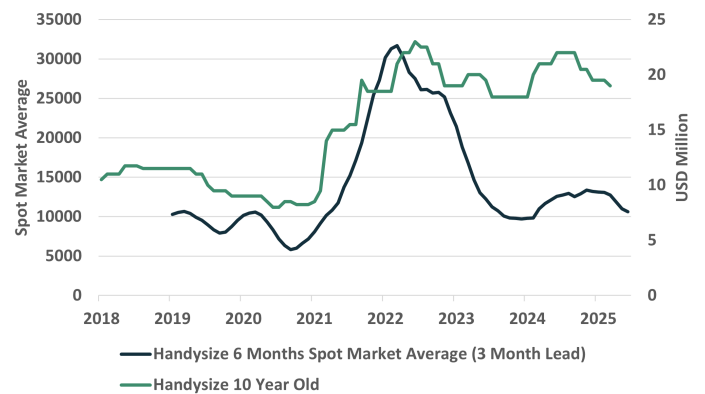
Kamsarmax 6 Months Spot Market Average (Moved 3 Months Forward) vs Kamsarmax 10 Year Old



Supramax 6 Months Spot Market Average (Moved 3 Months Forward) vs Supramax 10 Year Old



Handysize 6 Months Spot Market Average (Moved 3 Months Forward) vs Handysize 10 Year Old

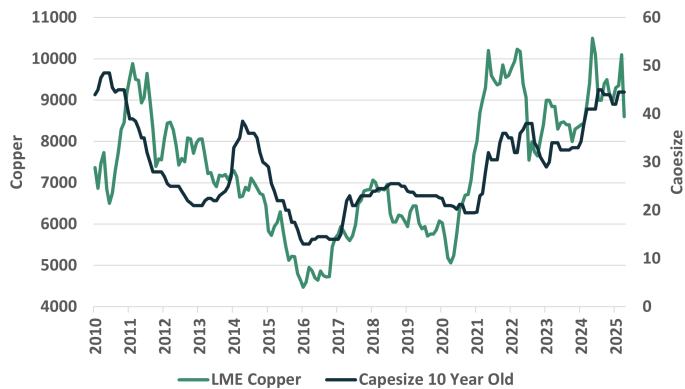


Baltic Exchange, Fearnleys

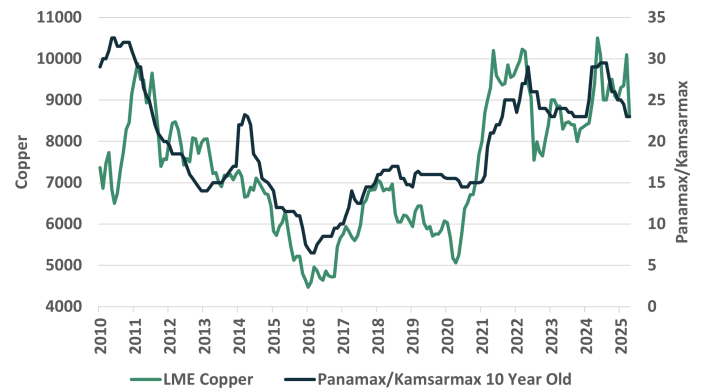
Asset Values vs Commodity Prices

Industrial metal prices often precede the change in second-hand values by around six months. The charts below display the price of copper against second-hand values since 2014. The correlation is high because the price of copper is a barometer of industrial activity and also reflects inflationary or deflationary periods.

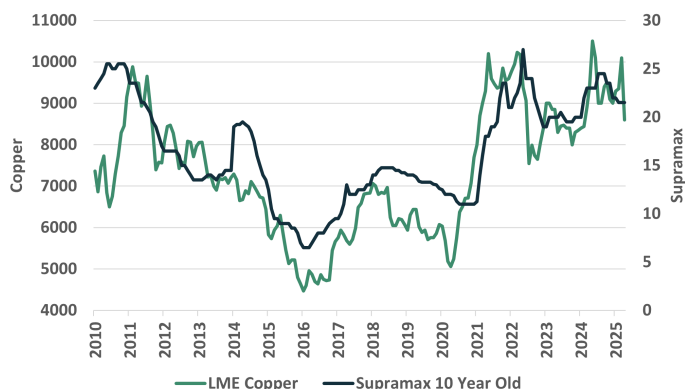
Copper Price vs Capesize 10 Year Old



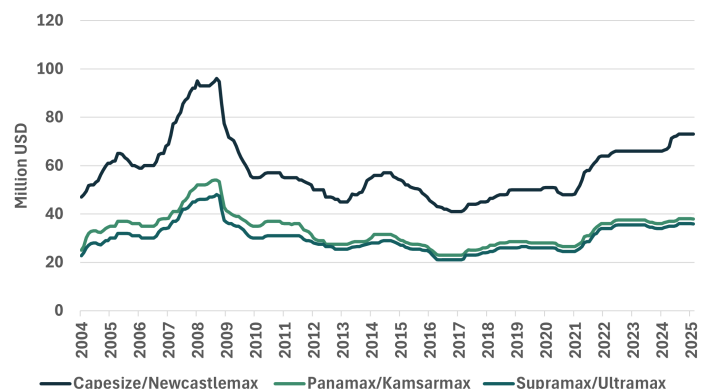
Copper Price vs Kamsarmax 10 Year Old



Copper Price vs Supramax 10 Year Old



Dry Bulk Newbuilding Prices



S&P Global, FRED, Fearnleys



TRADE FLOWS

Q1 2025 vs Q1 2024 Trade Flow Statistics

Iron Ore

Exports

Australia: -2.0%
Brazil: 0.0%
Canada: -9.0%
India: -40.0%
South Africa: 5.0%

Total Exports: -1.9%

Imports

China: -7.7%
World ex-China: 1.6%

Through Q1, China's imported iron ore consumption was 4.7% higher than the same period in 2024. Notwithstanding positive year-on-year figures, average consumption for the first quarter was still lower than in the fourth quarter of last year. Q4 2024 consumption in turn was just slightly higher than in Q3, and the same level as in Q2.

So, imported iron ore consumption in China has not increased for nearly a year, and inventories are higher than the same period last year.

Trump's reciprocal tariffs will cause a drop in global steel demand, so the growth outlook for 2025 has worsened further. Next year, growth will improve considerably if there is an end to the trade war.

Coal

Exports

Australia: -8.4%
Canada: 0%%
Colombia: -19.7%
Indonesia: -9.5%
Russia: -5.1%
South Africa: 10.2%
USA: -2.5%

Total Exports: -7.7%

Imports

China: -8.4%
India: -7.0%
South East Asia: 14.0%
Europe and Med: -6.8%
South America: -6.7%
Japan: 0.0%

Korea: -20.0%

In our report last month, we wrote the following:

Coal market fundamentals are weak. Import demand is significantly weaker in China and India, with reports of some companies in China set to halt imports this spring. India's demand is weighed down by a weakening macroeconomic backdrop and higher domestic production.

India's import demand is not expected by Argus to recover before the second half of this year. China's record-high coal inventories need to be drawn down significantly before one can expect a stronger import market there.

In the rest of the World, there is not much strength to trace either. Developed economies' imports will be low due to weak manufacturing growth and a shift toward greener types of energy.

Coal prices keeps falling, and the outlook for demand has worsened due to Trump's reciprocal tariffs. Expectations for further price falls mean those who can will use inventories instead of new purchases. If prices fall enough, it will stimulate demand. Newcastle coal futures are slightly below 100 dollars per ton at the time of writing, so there is still much downside before the levels of 2015/16 or 2019/20 are reached...

Grains

In our previous report, we wrote the following:

Forecasts are for Brazilian soybean exports to end at record highs in the 2024/25 season. The harvest has progressed a bit slower than usual, however.

The slower-than-usual harvest could negatively impact Corn planting, thus leading to lower exports in the autumn. Along with that, the tariffs that China put on US Soybeans could impact those volumes negatively.

Chinese Soybean buyers are now likely to be even more focused on buying non-US beans. This is good for the remainder of Q2 but bearish for Q4.

Preliminary estimates for the Black Sea grain season show a slightly lower crop than last year (USDA).

Minor Bulks

Breakbulk: 7.7%

Fertilizers: 15.0%

Steels: 15.7%

Other Minor Bulks: 4.1%

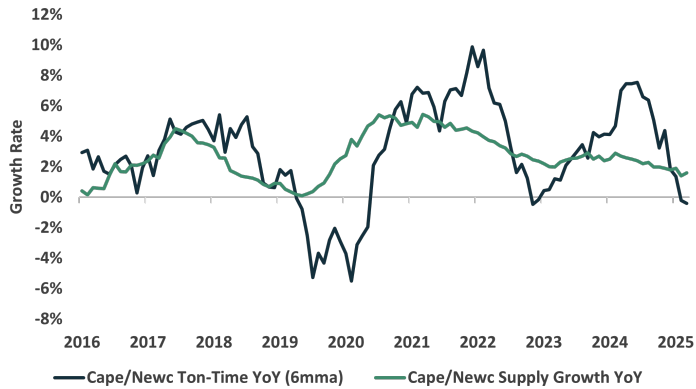
Bauxite: +38.0%

Total Minor Bulks: 7.2%

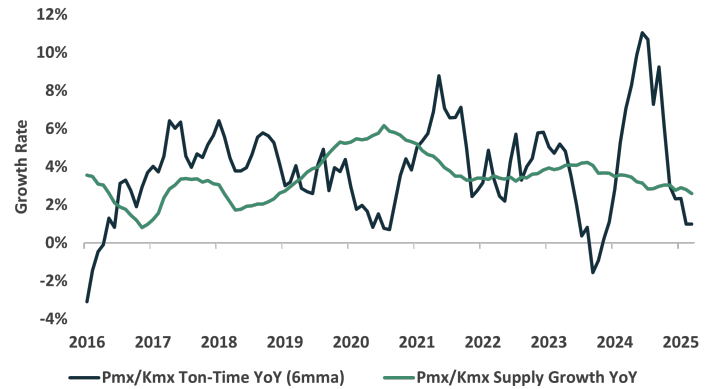
Minor bulk shipment growth ex Bauxite is likely to be much lower than last year as a weak macroeconomic backdrop weighs on demand.

This year, we expect total supply growth of around 3.0% and total shipment volume growth to end negative

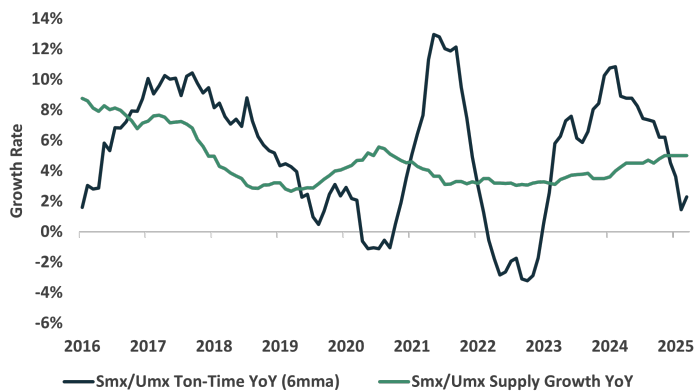
Capesize/Newcastlemax Ton-Time Growth vs Supply Growth



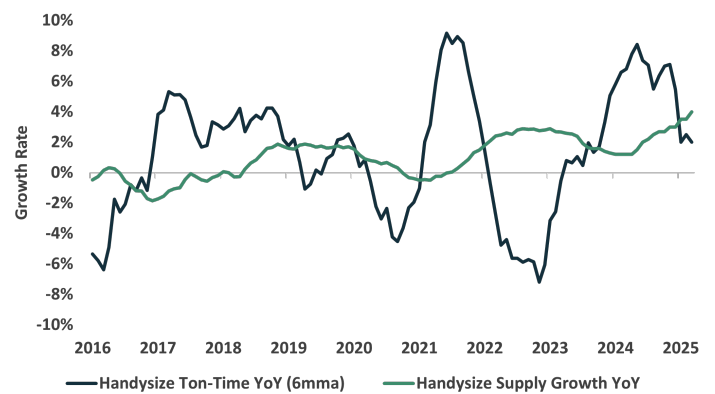
Panamax/Kamsarmax Ton-Time Growth vs Supply Growth



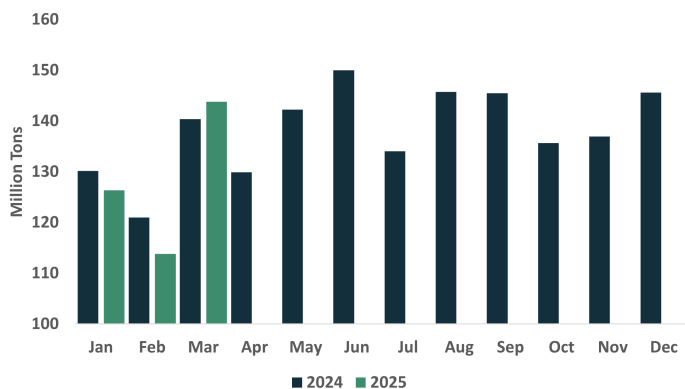
Supramax/Ultramax Ton-Time Growth vs Supply Growth



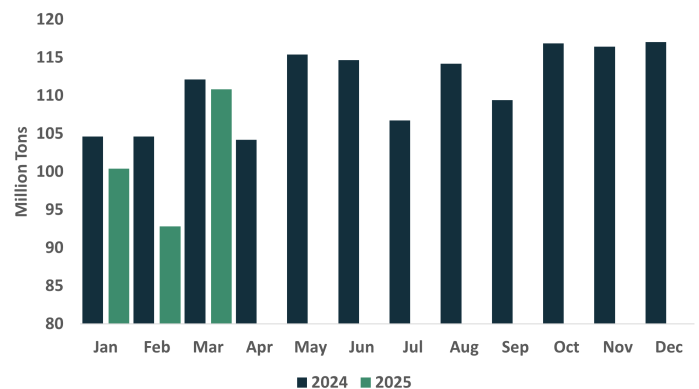
Handysize Ton-Time Growth vs Supply Growth



Global Iron Ore Loadings, 2024 and 2025 YTD



Global Coal Loadings, 2024 and 2025 YTD



MACRO ECONOMIC OUTLOOK

Should the ongoing trade war continue or escalate, we are not sure whether any previously used market indicator can be trusted like before. For example, domestic fiscal stimulus and interest rate cuts might just lead to a short-lived upturn and outsized spike in inflation compared to the economic framework we are used to, as more money will change fewer goods.

Top left chart:

China's total social financing growth seems to have turned a corner. The Chinese government will be incentivized to

continue stimulus efforts given the current situation. However, as written initially in this report, massive trade barriers mean the usual stimulus measures will only lead to high inflation, thus the potential demand upturn will be highly short-lived.

Top right chart:

The economic growth index was negative basis the released numbers for January and February. Given that the US consumer is very important for China's economy, the index will turn more deeply negative going forward.

Middle left chart:

Comment from our previous report from early March:

The USDCNY year-on-year change continues to predict China's dry bulk import growth with high accuracy. The USDCNY suggests China's import growth will be around 0% this year.

The problem with currency indicators going forward is that Trump's policies could severely shake the foundations of the global monetary system. Counterparty risk is evident from the trading in US treasuries, as yields have risen since Liberation Day despite increasing expectations of Federal Reserve interest rate cuts.

Middle right chart:

Global interest rate cuts suggest 1 year TC rates will be higher during the second half of 2026 than what it has been in Q1. That implies at least the mid-teens for Kamsarmaxes.

Bottom left chart:

Given China's weak import growth, the global economic cycle is not suggested to bottom before Q1 2026. This was at least the indication before Trump started his trade wars.

Bottom right chart:

Can currency indicators be trusted like before? What does global trade wars mean for the US dollar? Will a weak dollar signify that global liquidity conditions have improved, or does it reflect flight or diversification away from the dollar? As of now, the "old regime" still suggest tight global liquidity, which in turn is bearish for dry bulk markets.

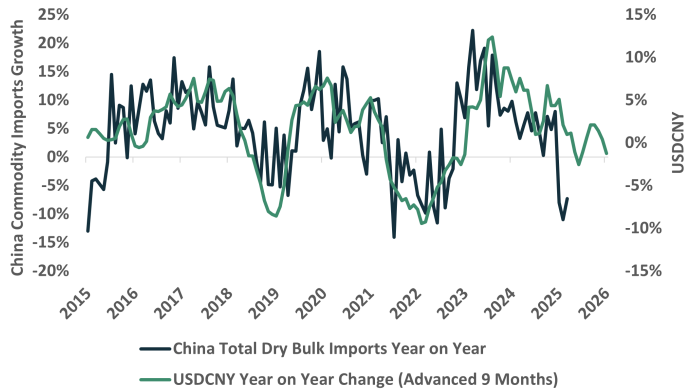
Baltic Dry Index Year on Year Change vs China Credit Growth (12 Months Lead)



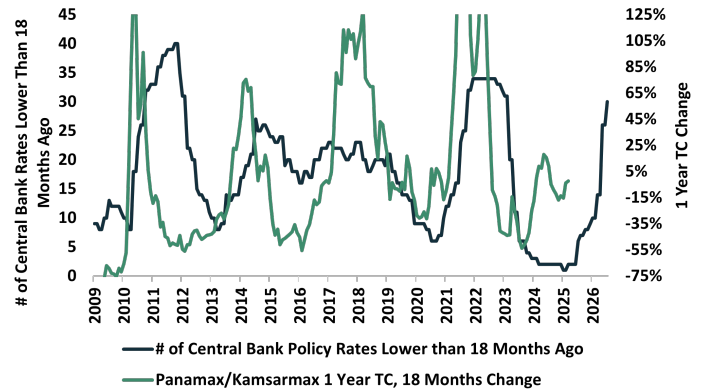
China Economic Growth Index vs Global Dry Bulk Shipments Growth



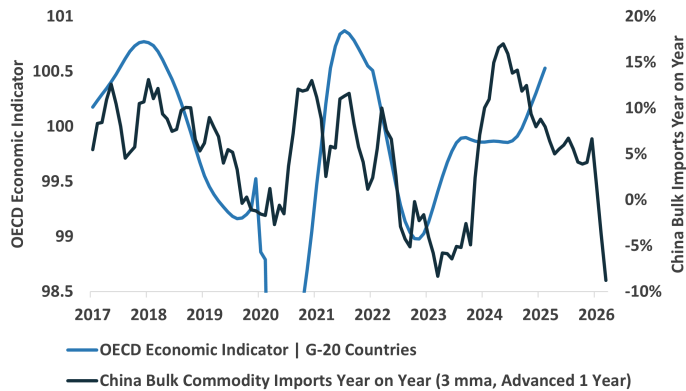
USDCNY YoY, 9 Months Lead vs China Bulk Commodity Imports YoY



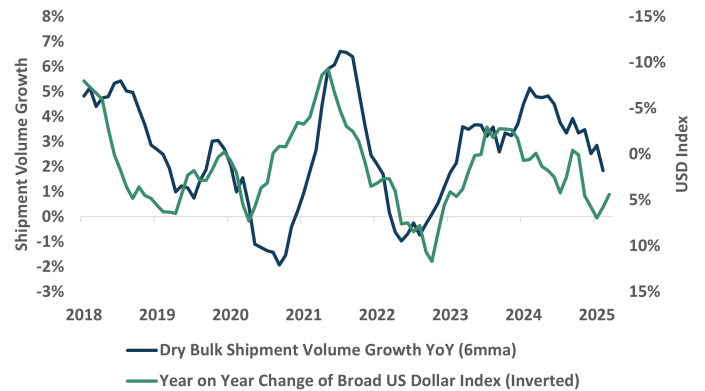
of Central Bank Rates Lower than 18 Months Ago, vs Pmx/Kmx 1 Year TC 18 Months Change



China Bulk Imports Growth (12 Months Lead) vs OECD G-20 Economic Indicator



Broad US Dollar Index Year on Year vs Dry Bulk Shipment Volume Growth



FRED, OECD, S&P Global, MySteel, AxsMarine, Baltic Exchange



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